

Table 1 Responses of labour income and inflation to government spending (2008-12)

Variable data source	Labour income QCEW		Inflation BLS	
	OLS	IV	OLS	IV
Government spending	1.33*** (0.34)	0.81* (0.41)	-0.000 (0.001)	-0.0002 (0.002)
Partial F stat.	-	78.6	-	166.5
County controls/state fixed effects	Yes	Yes	Yes	Yes
# of counties	2,916	2,916	1,116	1,116

Notes: The first two columns show estimates of a regression of percentage change in labour income on cumulative government spending at the county level during the period 2008-12. The last two columns show estimates of a regression of percentage point change in inflation on log-cumulative government spending at the county level during the period 2008-12. We show results for our OLS and IV specification and the standard errors in parentheses. One, two, and three stars denote significance at the 10%, 5%, and 1% levels, respectively.